
19.1 INTRODUCTION

India is globalising rapidly. Inter-dependence between the economies in the world has increased multi-fold. External sector in the economy has gained prime importance. Both exports and imports contribute to the production process. Both of these are effective instruments in raising the income levels of the people in a developing economy. Apart from flow of goods, increasing flows of services and capital between nations give rise to payments and receipts in foreign exchange which, in turn, influences the balance of payments (BoP) position. In this unit, we shall examine the various issues related to foreign trade and BoP. Let us begin with explaining the relationship between foreign trade and economic growth.

19.2 TRADE AND ECONOMIC DEVELOPMENT

External trade is important for sustained economic growth. Many of the fastest growing economies of the past few decades have always recorded high trade growth. Trade has many positive spillover effects on a domestic economy. Apart from increasing foreign exchange reserves, exports boost competitiveness, promote investments, generate linkage with the global economy, increase employment, and can also help in upgradation of skills.

Foreign trade has worked as an 'engine of growth' in the past (witness Great Britain in the 19th century and Japan in the 20th, besides others), and even in more recent times the "outward-oriented growth strategy" adopted by the newly industrialising Economies of Asia, viz., Hong Kong, (now a special administered area of China), Singapore, Taiwan, Malaysia, Thailand, and South Korea, has enabled them to overcome the constraints of small resource-poor under-developed economies.

Contribution of Foreign Trade to Economic Development

Foreign trade contributes to economic development in several ways.

- It provides flow of technology which allows for increases in total factor productivity, and some short-run multiplier effects for countries with unemployed labour.
- It generates pressure for dynamic change through: (i) competitive pressure from imports, (ii) pressure of competing for export markets, and (iii) a better allocation of resources.
- Exports allow increased exploitation of economies of scale, separation of production pattern from domestic demand, and increasing familiarity with absorption of new technologies.

These, in turn, help increase the profitability of the domestic business without any corresponding increase in price.

Foreign trade increases most workers' welfare. It does so at least in four ways: (i) larger exports translate into higher wages; (ii) as workers are also consumers, trade brings them immediate gains through cheaper imports; (iii)

it enables most workers to become more productive as the goods they produce increase in value; and (iv) trade increases technology transfers from industrial to under-developed countries (UDCs) and the transferred technology is biased in favour of skilled labour.

Increased openness to trade has been strongly associated with the reduction of poverty in most developing countries, as the historian Arnold Toynbee said ‘civilisation’ has been spread through ‘mimesis’: simple copying.

19.2.1 Trade Policy Analysis Tools¹

A proper analysis of a country’s foreign trade can be attempted by analysing (i) Volume of trade, (ii) Share of exports/imports in GDP, (iii) Share of exports/imports in world trade, (iv) Degree of Openness, (v) Composition of trade, (vi) Sectoral and Geographical Orientation of Trade, (vii) Terms of trade, and (viii) Direction of trade.

Volume of Trade

It relates to the size of international transactions. Since a large number of capital, goods and services enter in international transactions and their aggregate can be found only by finding their money value, therefore, the volume of trade can be measured only in terms of money value. The trends in the value of trade help to identify the basic forces that may be operating at different periods in the economy.

However, mere absolute changes in the value of trade may not be satisfactory guide, hence it is necessary to find the changes in the value of trade by relating them to two variables, viz. i) Share of exports/imports in GDP, and ii) Share of exports/imports in world trade.

Share of exports/imports in GDP

The share of exports/imports in GDP indicates the degree of outward orientation or openness of the economy to trade. This share reflects in a broad way the nature of trade strategies adopted in the country. The ratio of exports to GDP could also be interpreted to mean supply capability of the economy regarding exports. It can be called as average propensity to export. The similar ratio between imports and GDP gives the average propensity to import. Clearly, however, the appropriate share of exports in output under an efficient allocation of resources will be less in bigger economies than in smaller economies.

Share of exports/imports in world trade

The share of exports in the world trade indicates the importance of the country as a nation in the world economy. It reflects the market thrust that the country is able to realise in presence of the various competitors in the world market. Changes in this ratio, thus, indicate the shift in the position of the comparative advantage of the country.

¹Based upon A Practical Guide to Trade Policy Analysis, co-published by the World Trade Organisation and the United Nations Conference on Trade and Development, 2012.

Degree of Openness

The most natural measure of a country's integration in the world trade is its degree of openness. One might suppose that measuring a country's openness is a relatively straightforward endeavour. Let X^i , M^i and Y^i be respectively country i 's total exports, total imports and GDP. Country i 's openness ratio is defined as:

$$O^i = \frac{X^i + M^i}{Y^i}$$

Higher the O^i , the more open is the country. For small open economies like Singapore, it may even be substantially above one. The index can be traced over time.

19.2.2 Composition of Trade

It is indicative of the structure and level of development of an economy. For instance, most of the UDCs depend for their export earnings on a few primary commodities (PCs); these countries export raw materials of agricultural origin and import manufactured industrial products, thus, denying themselves the benefits of value addition in their goods. As an economy develops, its trade gets diversified. It no more remains dependent on a few PCs. It begins to export more of manufactured industrial goods and import industrial raw materials, capital equipment and technical know-how.

Manufactured exports create greater value addition than PCs as they go through more stages of processing. The manufacturing sector has greater linkages with the rest of the economy and, hence, the downstream effect on exports from these sectors is likely to be greater than primary exports.

The commodities entering trade could also be classified by various other criteria such as value added per unit of output, productivity of labour, capital intensity in production, strength of backward and forward linkages, etc. The shifts in the commodity composition of trade in these categories would bring out the nature of structural changes in regard to income generation, employment effect and overall industrialisation through linkages effects, etc.

Sectoral and Geographical Orientation of Trade

The sectoral composition of a country's trade matters for a variety of reasons. For instance, it may matter for growth if some sectors are drivers of technological improvement and subsequent economic growth, although whether this is true or not is controversial. Moreover, constraints to growth may be more easily identified at the sectoral level.

Geographical composition highlights linkages to dynamic regions of the world (or the absence thereof) and helps to think about export-promotion strategies. It is also a useful input in the analysis of regional integration, an item of rising importance in national trade policies.

Simple indexes for the share of each sector in a country's total imports or exports can be constructed using a dataset with sector-level trade data.

Likewise, one can construct indexes of the share of each partner in a country's total imports or exports using bilateral trade data. One can go a step further and assess to what extent a country's export orientation is favourable, i.e. to what extent the country exports in sectors and toward partners that have experienced faster import growth.

Terms of trade (TT)

Changes in the value of exports may be compared to the changes in the value of imports. The relationship between these two variables is known as the terms of trade (TT), i.e., the terms at which exports exchange for imports; if the exports value in terms of imports value shows an increase, the TT are said to be favourable. Favourable TT implies that for a given value of exports, the country can produce more of imports. Conversely, if the TT is unfavourable a country has to give up more exports to produce a given volume of imports. In short, Terms of trade (TOT) are the relative price, on world markets, of a country's exports compared to its imports. If the price of a country's exports rises relative to that of its imports, the country improves its purchasing power on world markets. The two most common indicators are barter terms of trade and income terms of trade.

19.2.3 Direction of Trade

It is indicative of the structure and level of economic development. As a country develops and its trade gets diversified, it has to seek new outlets for its exports. Its horizon of choice in terms of imports also gets widened. The country begins to trade with an increasingly large number of countries. In this regard, one could ask whether there has been a concentration or dispersion of the markets for exports and sources of supply for imports.

Check Your Progress 1

- 1) What role does foreign trade play in economic development of a nation?

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- 2) How does growth of an economy affect the volume of its foreign trade?

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- 3) What types of changes are observed in the direction of trade as an economy experience growth?

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- 4) How can you measure the openness of Indian Economy?

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19.3 INDIA'S FOREIGN TRADE

Foreign trade has always been important for the sustained economic growth of an economy. Many Asian economies such as Japan, South Korea, Singapore, and China, have achieved high levels of economic growth with resulting positive spillover in productivity, investments, technology upgradation, and job growth, on the back of export-led growth. Foreign trade will also play a crucial part in India's goal to become a US\$ 5 trillion economy.

19.3.1 Volume of India's Merchandise Trade

India is not a major player in global trade. Its share in world's merchandise exports and imports was below one percent level up to the year 2000. Thereafter, on account of various policy measures, India's share in world's merchandise exports and imports started growing and it reached the level of 1.7 per cent and 2.5 per cent respectively in 2019 (Table 19.1). This reflects India's increasing integration with the global value chain.

**Table 19.1: India's Share in World's Merchandise Exports & Imports
(share in per cent)**

Year	Exports	Imports
1980	0.4	0.7
1990	0.5	0.7
2000	0.7	0.8
2010	1.5	2.3
2019	1.7	2.5

Source: UNCTAD Statistics

Table 19.2 shows the growth story of India's external trade in merchandise, exports and imports. India's total merchandise trade increased from US\$ 24.4 billion in the year 1980-81 to US\$ 844.2 billion in 2018-19 in absolute terms. In the same period, merchandise exports increased from US\$ 8.8 billion to US\$330.1 billion, while imports grew from US\$15.9 billion to US\$514.1 billion. It is interesting to see that the value of India's merchandise exports has been stagnant or declining over a relatively long period starting from 2011-12. Growth in India's merchandise exports over 2015-16 was minus 15.5 per cent, as compared with minus 1.3 per cent in 2014-15 and a positive 4.7 per cent in 2013-14. In fact, in 2018-19, growth of India's exports and imports has reduced as compared to the growth in previous year. There are several factors contributing to this situation. Slowdown in the world output, trade tensions and protectionism and less diversification of India's exports basket are few of the reasons for contraction in India's exports. As per opinion expressed by many experts, contraction in India's imports bill in recent years was partially because of decline in oil prices.

Table 19.2: India's Merchandise Trade

Year	Value in US \$ Million (Rate of change over previous period in per cent)		
	Exports	Imports	Total External Trade
1980-81	8484.7 (-)	15866.5 (-)	24351.2 (-)
1990-91	18145.2 (113.9)	24072.5 (51.7)	42217.7 (73.4)
2000-01	44560.3 (145.6)	50536.5 (109.9)	95096.8 (125.3)
2010-11	251136.2 (463.6)	369769.1 (631.7)	620905.3 (552.9)
2011-12	305963.9 (21.8)	489319.5 (32.3)	795283.4 (28.1)
2012-13	300400.6 (-1.8)	490736.6 (0.3)	791137.2 (-0.5)
2013-14	314415.7 (4.7)	450213.6 (-8.3)	764629.4 (-3.4)
2014-15	310352.0 (-1.3)	448033.4 (-0.5)	758385.4 (-0.8)
2015-16	262291.1 (-15.5)	381007.8 (-15.0)	643298.8 (-15.2)
2016-17	275852.4 (5.2)	384357.0 (0.9)	660209.5 (2.6)
2017-18	303526.2 (10.0)	465581.0 (21.1)	769107.2 (16.5)
2018-19	330078.1 (8.7)	514078.4 (10.4)	844156.5 (9.8)

Source: Reserve Bank of India

Table 19.3 summarises the contribution of merchandise exports and imports in India's GDP during the years from 1970-81 to 2018-19. Share of merchandise exports in India's GDP has increased from 4.5 per cent in 1980-81 to 12.4 per cent in 2018-19 while share of merchandise imports increased from 8.8 per cent to 19.0 percent during the same period. Total merchandise trade (exports + imports) contributed 31.4 per cent in India's GDP during

2018-19. From 2015-16 onwards, the ratio of the merchandise imports to GDP has been declining for India entailing a net positive impact on the Balance of Payment position. At the same time, merchandise exports to GDP ratio for India has almost been stagnant from 2015-16 onwards.

**Table 19.3: Share of Merchandise Exports & Imports in India's GDP
(share in per cent)**

Year	Exports	Imports	Total External Trade
1980-81	4.5	8.8	13.3
1990-91	5.8	8.7	14.4
2000-01	9.7	12.4	22.1
2010-11	15.3	22.9	38.2
2015-16	12.7	18.8	31.5
2018-19	12.4	19.0	31.4

Source: Reserve Bank of India

Trade Deficit

India has a large deficit in the classical trade in goods. Because of growing difference between India's merchandise imports and exports bills, we have been witnessing a huge deficit in our merchandise trade. In fact, India's merchandise trade deficit has increased from US\$ 7.4 billion in 1980-81 to US\$ 184.0 billion in 2018-19. Growing deficit in merchandise trade is a matter of concerns for the Indian policy makers and the government has come with many measures under Foreign Trade Policy 2015-20 to increase exports and reduce the trade deficit. The Government of India is currently discussing New WTO compliant Foreign Trade Policy to address various trade related issues.

19.3.2 Volume of India's Trade in Services

India's services trade has been a major driver of its exports over the past two decades. The country has emerged among the fastest growing nations in global services trade. This sector has not only attracted significant foreign investment flows but also contributed significantly to exports as well as provided large-scale employment. India's services sector covers a wide variety of activities such as software, hotels and restaurants, transport, storage and communication, financing, insurance, real estate, business services, community, social and personal services, and services associated with construction. In 2005, India contributed 1.9 per cent of world's service exports which increased to 3.5 per cent in the year 2019 while its shares in service imports increased from 2.3 per cent to 3.1 per cent in the same period.

The broad trend in India's Services trade in the last ten years is indicated in Table 19.4. It shows that India's export of services has shown an increasing trend from 2011-12 to 2018-19, except for a small dip in 2015-16, whereas imports have also shown an increase from US\$ 78.2 billion in 2011-12 to

US\$ 126.0 billion in 2018-19 with a net services trade surplus in the above period. The net service trade has shown fluctuations in the recent years.

Table 19.4: India's Service Trade

Year	Value in US \$ Million			Growth Over Previous Period (per cent)		
	Exports	Imports	Net Services	Exports	Imports	Net Services
2009-10	96040	60030	36020	-	-	-
2010-11	124640	80550	44080	29.8	34.2	22.4
2011-12	142325	78227	64098	14.2	-2.9	45.4
2012-13	145678	80763	64915	2.4	3.2	1.3
2013-14	151813	78747	73066	4.2	-2.5	12.6
2014-15	158107	81578	76529	4.1	3.6	4.7
2015-16	154311	84635	69676	-2.4	3.7	-9.0
2016-17	164197	95852	68345	6.4	13.3	-1.9
2017-18	195089	117527	77562	18.8	22.6	13.5
2018-19	208000	126060	81941	6.6	7.3	5.6%

Source: Reserve Bank of India

19.3.3 Composition of India's Merchandise Trade

The composition of India's merchandise trade has been changing. In the early decades after Independence, exports were mainly of primary goods, viz. agricultural commodities, and raw materials, such as minerals. Over time, the role of manufactures including engineering goods has been increasing. Overall manufactured goods are as much as 66 per cent of total exports, of which engineering goods contribute as much as 27 per cent of the value of goods exported. These engineering goods include automobiles and parts, agricultural machinery, and electrical machinery.

19.3.3.1 Composition of India's Merchandise Exports

Exports of India are broadly classified into four categories:

Agricultural and allied products-This mainly include tea, coffee, cereals, unmanufactured tobacco, spices, cashew nuts, oil meals, fruits and vegetables and pulses, marine products, raw cotton, etc.

Ores and minerals (excluding coal)- include iron ore, mica, processed minerals, and other ores and minerals.

Manufactured goods- include textile fabrics and manufactures, cotton yarn, fabrics, made-ups, etc., readymade garments of all textile materials, Coir yarn and manufactures, Jute manufactures (including twist and yarn), leather and leather manufactures (including leather footwear, leather travel goods

and leather garments), handicrafts (including hand-made carpets), gems and jewellery, chemicals and allied products, machinery, transport and metal manufactures (including iron and steel), etc.

Mineral fuels and Lubricants (including Coal)

The composition of India's merchandise trade has been changing. In the early decades after Independence, exports were mainly of primary goods, viz. agricultural commodities, and raw materials, such as minerals. Over time, the role of manufactures including engineering goods has been increasing. Agriculture and allied products accounted for 30.07 per cent of India's total merchandise exports in 1980-81, this has however, declined to 11.8 percent in 2018-19. At the same time, the share of manufactured goods has witnessed a mixed trend. In fact, share of manufactured goods has gone up from 55.8 percent in 1980-81 to 79.0 per cent in 2000-01 but again declined to 70.3 per cent in 2018-19.

Turning to India's exports by principal products of India, in 2018-19, India's top 3 merchandise exports included engineering goods, petroleum products, and gems and jewellery. In fact, in recent years, petroleum products, precious stones, drug formulations, gold and other precious metals continue to be India's top export items. In 2018-19, engineering goods was the largest exported commodity, in value terms. However, its growth was only 6.3 per cent as compared to 2017-18. Top 5 exported products accounted for more than 60 per cent share in India's total merchandise exports in 2018-19. The exports that have not grown as much as would be expected, given India's status as a labour abundant economy, are textiles and textile products, which include garments and leather products. They still account for just a little more than 10 per cent of India's exports. Overall, composition of India's merchandise exports has undergone a positive change. The remarkable achievement is that India has transformed itself from a predominantly primary goods exporting country into a non-primary goods exporting country.

19.3.3.2 Composition of India's Merchandise Imports

Crude oil imports have a large presence in the import basket with the value of India's total imports being influenced by crude prices. Similarly, gold imports also have a significant presence in the import basket and gold prices influence the value of India's total imports. In the import basket of 2018-19, top 5 products include i) Petroleum, Crude and products at 27.4 percent share, ii) Electronic goods at 10.8 percent share, iii) Machinery, electrical and non-electrical at 7.7 per cent share, iv) Gold at 6.4 per cent share and v) Pearls, precious and Semi-precious stones at 5.3 per cent share. These products together accounted for more than 55 percent of India's imports in 2018-19. Crude oil has been the largest item in India's imports basket which increased from US\$ 87.1 billion in 2009-10 to US\$ 141.0 billion in 2018-19 which a growth of 29.7 percent over previous year. Growth rates of gold and pearls (including precious and semi-precious stones) however declined in 2018-19.

India's POL (petroleum, oil, and lubricants) imports increased from US\$5.8 billion in 1981-82 to US\$ 141 billion in 2018-19. Its share in India's total imports basket however declined from 38.1 percent to 27.4 per cent in same time period. As far as imports of Non-POL products are concerned, its shares in India's imports basket increased from 61.9 per cent in 1981-82 to 72.6 per cent in 2018-19 whereas in terms of absolute value it increased from, US\$ 9.4 billion to US\$ 373.2 billion in the same period. POL imports witnessed sharp rise in growth rate from 4.8 per cent in 2016-17 to 29.7 per cent in 2018-19. The non-POL imports also increased from – 0.2 per cent in 2016-17 to 4.5 per cent in 2018-19. This is mainly because of a downturn in the Indian economy. Further, rise in growth of POL imports from 2016-17 to 2018-19 was mainly on account of both price increase in the international market and volume consumed by India.

19.3.4 Composition of India's Trade in Services

The composition of service exports has remained largely unchanged over the years. Telecommunications, computer, and information services constitute the bulk of it at around 41-46 per cent between 2016-17 to 2018-19, followed by other business services at about 18-20 per cent, travel at 13-14 per cent and transportation at 9-10 per cent during the same period. The relative shares of the various constituents of service imports have also not varied much with business services constituting about a third of service imports, which is in consonance with the rising level of economic activity in the country. The component of travel and transport services together constitutes another third of total service imports.

Although India's services exports have seen a general increase in growth, a large part of this growth is confined to two categories— telecommunications, computer, and information services and other business services. Given the increasingly large role services trade is playing in the global economy along with a rise in automation and new forms of services, there is an urgent need for diversification of India's services trade to limit the impact of data localisation on services exports.

19.3.5 Direction of India's Foreign Trade

Within the world geographic region, Asia is the largest destination of Indian exports which accounted for 48.8 per cent of India's exports (in value terms) in 2018-19 followed by America and Europe with 20.9 percent and 19.9 percent share, respectively in the same period (Table 19.5). In 2018-19, India's exports (in terms of value) over previous year i.e. 2017-18, grew at a faster rate in CIS & Baltics and Africa region as compared to Asia, America, and Europe. Though, absolute value of merchandise exports was much less in CIS & Baltics and Africa.

In case of merchandise imports, India sourced 62.0 percent of its requirement within Asia in 2018-19. Whereas Europe and America accounted for 15.4 per cent and 12.7 per cent respectively of India's imports in the same time period (Table 19.6). In terms of absolute value, India's imports from America grew at a faster rate of 16.4% in 2018-19 over the previous year. Whereas